

Table B.3: Effects of AI adoption on labor productivity (turnover and value added approach)

	(1)	(2)
	LP Turnover (log) With controls	LP Value Added (log) With controls
AI adoption (US-based)	0.041*** (0.015)	0.034* (0.018)
Investment (lag)	0.009* (0.006)	0.009 (0.006)
Profitability (lag)	0.618*** (0.041)	1.374*** (0.066)
Financial leverage (lag)	-0.151*** (0.026)	-0.182*** (0.041)
Total assets (log, lag)	0.386*** (0.006)	0.375*** (0.006)
Size FE	Yes	Yes
Age FE	Yes	Yes
Country-sector-wave FE	Yes	Yes
Observations	30228	23575
R-squared	0.551	0.861
Adjusted R-squared	0.526	0.852

Note: The dependent variable is labor productivity, calculated as the log of turnover per employee or log of value added per employee, and is derived from EIBIS. AI adoption (US-matched) is the AI implementation status derived from similar firms in the US. Investment is expressed as the annual change in total fixed assets. Profitability is the ratio of EBIT to total assets. Financial leverage is the ratio of loans and long-term debt to total assets. All control variables come from ORBIS and are lagged by 1 year. Standard errors clustered at the country-sector-wave level are reported in parentheses. *, **, *** correspond to 0.1, 0.05 and 0.01 significance levels, respectively.

Table B.4: Effects of AI adoption on innovation activity

	(1) Firm	(2) Firm	(3) Country	(4) Country	(5) World	(6) World
AI adoption (actual)	0.035*** -0.007		0.025*** -0.004		0.055*** -0.004	
AI adoption (US-based)		0.078*** -0.01		0.015*** -0.005		0.033*** -0.006
Investment (lag)	0.001 -0.002	0 -0.003	0.002 -0.001	0.001 -0.002	0.004** -0.002	0.004** -0.002
Profitability (lag)	0.049*** -0.016	0.036* -0.02	0.008 -0.01	0.008 -0.012	-0.004 -0.011	-0.008 -0.013
Financial leverage (lag)	0.015 -0.011	0.017 -0.013	-0.001 -0.006	0.001 -0.007	0.007 -0.007	0.012 -0.008
Total assets (log, lag)	-0.001 -0.002	-0.004* -0.002	0.001 -0.001	0.001 -0.001	0.006*** -0.001	0.008*** -0.001
Size FE	Yes	Yes	Yes	Yes	Yes	Yes
Age FE	Yes	Yes	Yes	Yes	Yes	Yes
Country-sector-wave FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	35427	30446	35427	30446	35427	30446
R-squared	0.081	0.082	0.082	0.089	0.123	0.126
Adjusted R-squared	0.038	0.032	0.038	0.039	0.081	0.078

Note: The dependent variable is a binary indicator for innovation activity for firms that report to develop products, services or processes that are new at the level of the firm (Columns 1-2), the country (Columns 3-4) or the global frontier (Columns 5-6). AI adoption (US-matched) is the AI implementation status derived from similar firms in the US. Investment is expressed as the annual change in total fixed assets. Profitability is the ratio of EBIT to total assets. Financial leverage is the ratio of loans and long-term debt to total assets. All control variables come from ORBIS and are lagged by 1 year. Standard errors clustered at the country-sector-wave level are reported in parentheses. *, **, *** correspond to 0.1, 0.05 and 0.01 significance levels, respectively.

